

Competition Laws (Antitrust Laws)






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भारतीय प्रतिस्पर्धा आयोग

Competition Commission of India



20.10.2022

PRESS RELEASE No. 55/2022-23

CCI imposes a monetary penalty of Rs. 1337.76 crore on Google for anti-competitive practices in relation to Android mobile devices

1. The Competition Commission of India (Commission) has imposed a penalty of Rs. 1337.76 crore on Google for abusing its dominant position in multiple markets in the Android Mobile device ecosystem, apart from issuing cease and desist order. The Commission also directed Google to modify its conduct within a defined timeline.
2. Smart mobile devices need an operating system (OS) to run applications (apps) and programs. Android is one such mobile operating systems which was acquired by Google in 2005. The Commission in the instant matter has examined various practices of Google w.r.t. licensing of this Android mobile operating system and various proprietary mobile applications of Google (e.g. Play Store, Google Search, Google Chrome, YouTube, etc.).



भारतीय प्रतिस्पर्धा आयोग

Competition Commission of India



25.10.2022

PRESS RELEASE No. 56/2022-23

CCI imposes a monetary penalty of Rs. 936.44 crore on Google for anti-competitive practices in relation to its Play Store policies

1. The Competition Commission of India (Commission) today imposed a penalty of Rs. 936.44 crore on Google for abusing its dominant position with respect to its Play Store policies, apart from issuing a cease-and-desist order. The Commission also directed Google to modify its conduct within a defined timeline.
2. For app developers, app stores have become a necessary medium for distribution of their apps to the end users and the availability of app store(s) is directly dependent on OS installed on a smart device. An appreciation of the market dynamics in licensable mobile operating system in India makes it evident that Google's Android OS has successfully reaped the indirect network effects. Google's Play Store constitutes the main distribution channel for app developers in the Android mobile ecosystem, which allows its owners to capitalize on the apps brought to market.

Intel News Release

AMD and Intel Announce Settlement of All Antitrust and IP Disputes



SUNNYVALE/SANTA CLARA, Calif. – Nov. 12, 2009 – Intel Corporation and Advanced Micro Devices (NYSE: AMD) today announced a comprehensive agreement to end all outstanding legal disputes between the companies, including antitrust litigation and patent cross license disputes.

In a joint statement the two companies commented, "While the relationship between the two companies has been difficult in the past, this agreement ends the legal disputes and enables the companies to focus all of our efforts on product innovation and development."

Under terms of the agreement, AMD and Intel obtain patent rights from a new 5-year cross license agreement, Intel and AMD will give up any claims of breach from the previous license agreement, and Intel will pay AMD \$1.25 billion. Intel has also agreed to abide by a set of business practice provisions. As a result, AMD will drop all pending litigation including the case in U.S. District Court in Delaware and two cases pending in Japan. AMD will also withdraw all of its regulatory complaints worldwide. The agreement will be made public in filings with the Securities and Exchange Commission.



European Commission finds Intel guilty of breaking antitrust laws, harming consumers

Largest fines dished out by the EU



Fined for abusing its market dominance on CPUs. Between 2002 and 2007, Intel committed **antitrust practices** in the x86 CPU market, by giving rebates to manufacturers on the condition they bought all their CPUs from Intel and by making direct payments to a major retailer so it would only stock computers with Intel's CPUs.



Fines totalling 8.472 bn euros (\$9.54 bn) between 2013 and 2017 for **breaking competition rules**.



Car glass producers hit with a **cartel** fine for illegal market sharing and exchanging commercially sensitive information.

- French firm Saint-Gobain received the largest fine of 880 mn euros
- U.K. firm Pilkington was hit with a fine of 357 mn euros
- Japanese company Asahi fined 113.5 mn due to leniency
- Belgium's Soliver received a fine of 4.4 mn euros

Largest fines dished out by the EU



Fined truck producers (MAN, Volvo/Renault, Daimler, Iveco, and DAF) a total of 2.93 bn euros for forming a **cartel and colluding** on truck prices for 14 years.



In 2004, the Commission ruled that Microsoft had abused its **market dominance** and had to disclose documentation allowing non-Microsoft servers to work Windows computers and services. Fine of 561 mn euros imposed for failing to comply with the ruling that it had to allow users to more easily choose a preferred web browser.



Facebook acquired Whastapp in 2014 for \$19 bn, but provided the Commission with misleading information about the acquisition, **breaking EU merger rules**. Fined 110 mn euros in 2017.

Roman Legislation



- ❑ The *Lex Julia de Annona*, competition law, enacted during the Roman Republic around 50 BC.
- ❑ To protect the grain trade, heavy fines were imposed on anyone directly, deliberately and insidiously stopping supply ships.
- ❑ Under Diocletian in 301 AD: An edict imposed the death penalty for anyone violating a tariff system, for example by buying up, concealing or contriving the scarcity of everyday goods.
- ❑ Under Constitution of Zeno of 483 AD: Provided for confiscation of property and banishment for any trade combination or joint action of monopolies private or granted by the Emperor.

Antitrust laws are Magna Carta of free enterprise



Competition laws, known more popularly as Antitrust laws in USA,

"... are the **Magna Carta of free enterprise**. They are as important to the preservation of **economic freedom and our free-enterprise system** as the *Bill of Rights* is to the protection of our fundamental personal freedoms."

- United States vs Topco Associates, Inc. 1972 [USA Supreme Court]

Competition Law or Antitrust Law

It has three main elements:

- I. Prohibiting agreements or practices that **restrict free trading and competition** between business. This includes in particular the repression of free trade caused by cartels.
- II. Banning abusive behavior by a firm **dominating a market, or anti-competitive practices** that tend to lead to such a dominant position. Practices controlled in this way may include predatory pricing, tying, price gouging, refusal to deal, and many others.
- III. Supervising the **mergers and acquisitions** of large corporations, including some joint ventures. Transactions that are considered to threaten the competitive process can be prohibited altogether, or approved subject to "remedies" such as an obligation to divest part of the merged business or to offer licenses or access to facilities to enable other businesses to continue competing.

What is prohibited?

- ❑ Competition law prohibits the deliberate exploitation of a dominant market position by a firm.
- ❑ Generally any agreement, arrangement or understanding between enterprises that has the effect of substantially lessening or limiting access to market is prohibited by Competition law.
- ❑ This prohibition applies not only to written agreements but also to oral and informal agreements.

Methods of Analysis

To determine whether an agreement unreasonably restrains competition, courts have applied one of two methods of analysis, depending on the type of agreement at issue:

- Per se offence
- Rule of reason

Per se offences

Certain agreements (called "per se" offenses") are deemed to be so inherently anticompetitive that they are always illegal,

- regardless of the intent of the parties or
- the actual effect of the agreements on competition.

Agreements constituting per se offences

These agreements include agreements between competitors:

- to fix prices or the terms and conditions of credit and sales,
- to allocate customers or territories;
- Not to deal with any person or persons ("group boycotts"), and, in certain circumstances,
- to sell one product conditioned on an agreement by the buyer to purchase a second, distinct product ("tying").
- Resale price maintenance.

Exceptions to Prohibited Practices

- ❑ Apart from the above anti-competitive agreements there are other types of agreements between suppliers and distributors and members of trade associations which enhance economic efficiency, even though they may result in anti-competitive effects.
- ❑ Such agreements, though anti-competitive, in effect can be exempted by the competitive authorities after weighing the anticipated gain in efficiency from such agreements vis-à-vis any adverse effect on competition

Rule of Reason & Block Exemption

- ❑ Such exemption can be on a case to case basis or can assume the form of block exemption.
- ❑ This approach is known as the Rule of Reason and requires an in-depth analysis of the effect on competition in the relevant market.
- ❑ In rule of reason analysis, competitive intent and effect are weighed along with the business justification of the challenged activities to determine their legality.
- ❑ Potentially anticompetitive practices which do not fall into the per se category are analyzed under a "rule of reason" standard.

Types of Anti-Competitive Agreements

Anti-competitive agreements which fall foul of competition law which are per se offences includes-

- price fixing;
- fixing of output by cartel;
- collusive tendering; and
- market sharing

Unlawful Monopolization

Unlawful monopolization is an offence under competition law and consists of the following two elements namely:

- (a) possession of market power in the relevant market; and
- (b) the willful acquisition or maintenance of that power, as distinguished from growth or development as a consequence of a superior product, business acumen, or historic accident.

Market Power

- ❑ Market power has been defined as the power to control prices or exclude competition,
- ❑ Market share is the most important factor in measuring market power, with
 - shares exceeding 70 percent usually considered sufficient for a finding of market power, and
 - shares of less than 40 percent generally insufficient.

Willful acquisition of market power

- ❑ For the second element, courts have required a showing of anticompetitive or predatory conduct - efforts to exclude rivals on some basis other than efficiency.
- ❑ Examples of such conduct include
 - below cost-pricing;
 - filing of baseless litigation against competitors, or
 - denial of access to an essential facility.

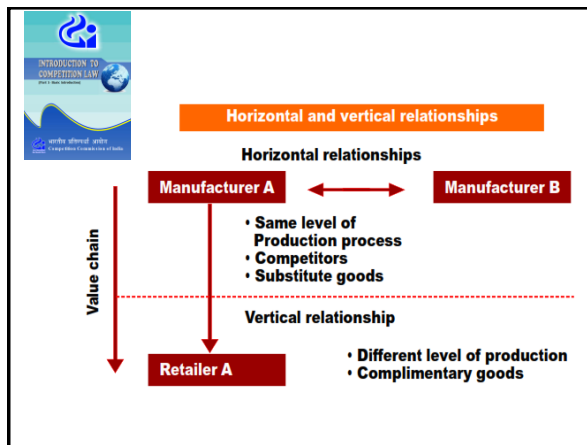
Attempt to gain Unlawful Monopolization

Attempt to gain monopolization is also an offence under competition law and consists of three elements:

- specific intent to control prices or destroy competition
- predatory or anticompetitive conduct directed at the unlawful objective; and
- a dangerous probability of success in achieving a monopoly in the relevant market.

Barriers to entry		
High	Moderately high	Low
Electric generation and distribution Local telephone service Newspapers Branded soaps Aircraft and parts Automobile industry Mainframe computers Heavy electrical equipment Locomotives Heavy industrial machinery Beer Cereals	Bakery Soft drinks Cigarettes Periodicals Gypsum products Organic chemicals Toilet preparations Petroleum refining Aluminium Large household appliances Railroad transportation	Meat packing Flour Canned fruits and vegetables Woolen and cotton textiles Clothing Small metal products Wooden furniture Corrugated containers Printing Footwear Trucking and road transportation

Sources: UNCTAD; and W. Shepherd, The Economics of Industrial Organization. Englewood Cliffs, 1990.



Horizontal Agreements

- Horizontal agreements are between independent enterprises or enterprises potentially competing in the same market.
- Many horizontal agreements relating to prices, discounts, output or the sharing of the markets often restrain the competitors and directly or indirectly limit access to market.
- Such agreements are prohibited by competition law as per se offences.

Horizontal Agreements - Section 3(3)

Directly or indirectly determine purchase or sale prices: Fixing of prices

Businessman 1: Every shop in the mall is slashing their prices.

Businessman 2: Now we have to lower our prices too.

Businessman 1: Look, we'll all end up making less if we go on like this. Why don't we talk to other owners and stop the price war? Let's fix the prices together. Then we can keep our margin.

Businessman 2: That sounds like a smart plan. Let's talk to other owner

Businessman 3: Smart Plan? If you're smart, you'll know this is against the Competition Law.

Businessman 1: Come on! No one cares about small businesses like us.

Businessman 3: That's not right! It's got nothing to do with the business size. Price fixing is wrong. I am not going to do anything illegal.

Inference: Price-fixing is serious anti-competitive conduct. No business, big or small, should agree with their competitors to fix prices. Don't cheat. Compete.

Horizontal Agreements - Section 3(3)

Limit or control output, technical development, services etc.

Producer 1: None of us have really been doing well recently. We must think of something to boost the profit. I've been thinking to reduce the supply together. When there's less supply, we can raise the price. Things are only precious when they are rare.

Producer 2: Ok. You are right. Things are only precious when they are rare. You're the industry leader. We'll take our cue from you.

Producer 3: Have you considered the implication of such agreement? This is an illegal act and in contravention of the competition laws

Inference: Output restriction agreed between competitors is serious anti-competitive conduct. Businesses should make independent commercial decisions and never collude with each other to restrict output.

Horizontal Agreements - Section 3(3)

Share or divide markets

Businessman 1: I didn't know that operating bus services for business units was so lucrative.

Businessman 2: Smartly. We agreed among ourselves to send out quotations to different business units respectively. Now they don't really have a choice. And we will virtually monopolize the shuttle bus business. We can charge whatever we like!

Businessman 1: Even if your clients ask me for quotation, I am not going to reply.

Businessman 2: So, how are we going to share those estates this year?

Businessman 1: Same as usual, let's split the districts between us. I'll send you the list when it's done.

After a month:

Businessman 1: No wonder the bus fares are getting higher and higher. It's all because of our agreement to share the market!

Inference: Such agreement is in contravention of the law and is considered as a serious anti-competitive conduct.

Vertical Agreements

Vertical agreements are between independent enterprises

- at different stages of production or distribution process like exclusive dealing, etc.,
- which can be exempted from the purview of competition law,
- by the rule of reason approach by the competition law authorities.

Vertical Restraints – Anti Competitive Effects

Concerns regarding vertical 'restraints' stem from the perception that anti-competitive effects might flow from restrictions imposed on firms in the downstream position in such a relationship, whether they be related to price (e.g., resale price maintenance) or non-price related (e.g., territorial restrictions, customer restrictions).

Vertical Agreements - Section 3(4) Tie-in arrangements

Hospital XYZ: Our new contract negotiation with ABC Enterprises is under way. But they request for an additional clause specifying that if we want to buy the medical device that only ABC Enterprises makes, we must buy other medical supplies including medical masks, gloves, syringes etc. as well.

Employee XYZ: But our current suppliers of these equipment offer lower prices and better quality. There's no reason for us to switch to ABC Enterprises.

Hospital XYZ: But if we do not agree, ABC Enterprises will not sell us their medical device and we can't provide proper care without this device. That leaves us no choice at all.

Employee XYZ: Calm down. This tying clause might contravene the Competition Law. ABC Enterprises cannot make such request.

Inference: Tie-in agreement are anti-competitive as per Section 3 (4) of the Competition Act and thereby punishable with penalty under Section 27.

Vertical Agreements - Section 3(4) Exclusive distribution agreements

Enterprise X is a producer of laptops who distributes throughout India through its distributors. However, it gives only one distributorship for East, West, North and South India and it does not allow distributors to sell in each other's territory. Such an arrangement by enterprise X will prevent competition among distributors.

Inference: Exclusive distribution agreement are considered to impinge on competition.

Vertical Agreements - Section 3(4) Refusal to deal

Enterprise A is an enterprise in the market for lead used to make pencils. Enterprise B is a major manufacturer of pencil in the market but its production is dependent on supply of lead by enterprise A. Enterprise A suddenly refuses to supply lead to B because a new company, C has entered the pencil market in direct competition to B and though A can supply to both B and C, A refuses to deal with B on entry of C in market. In such situation B can approach the Commission with information filed under Section 3 (4).

Inference: Refusal to deal is Anti-competitive.

Vertical Agreements - Section 3(4) Resale price maintenance

Producer: What brings you here? Is there any problem with my products?

Chain Store Owner: It's not about your products. I'm just not happy with the small competitors! If I sell something for Rs.500 in my chain stores, smaller retailers sell the same for Rs.400, then my customers all ask me for discount.

Producer: Why don't you fix a resale price for each product and make sure that all the retailers will sell your products at your fixed prices. So everyone can make a profit, the customers don't have to shop around and we don't have to get into a price war.

Chain Store Owner: My business is built on reputation and integrity. I won't play dirty tricks to get business.

Inference: Resale price maintenance may restrict competition by preventing businesses setting their prices independently.

Collusive Tendering

Agreements between enterprises to submit identical bids for one or more contracts are called collusive tendering.

- ❑ Collusive tendering may also assume a more sophisticated forms.
- ❑ Tenderers may agree among themselves and choose the businesses for which the chosen tenderer will bid for the deal.
- ❑ Sometime this is backed up by a system which ensures that each firm in turn becomes a successful bidder.
- ❑ a part of the profit earned by the successful bidder will be shared with other bidders to compensate for the loss incurred by the parties.

Collusive bidding is recognized as a per se offence.

Price fixing

A collective agreement to fix prices is regarded as a per se offence.

However this is subject to two exemptions:

- ❑ a list of recommended prices issued by the trade associations to its small business members may not be regarded as an infringement of competition law, if the prices are only recommendatory in nature and individual enterprises are free to charge what they like.
- ❑ cartels, which seek to fix export prices for certain commodities are exempted from competition law because competition law is generally concerned with the effects of anti-competitive practices on the domestic market alone.

Output quotas

- ❑ Cartels normally fix an output quota for each participating firm as an alternative to fixing the prices at which the goods can be sold.
- ❑ The effect of this is to prevent the other firms less efficient or less vigorous form .
- ❑ The result is lessening of competition and higher prices to consumers.
- ❑ The collective agreement to set output quotas for the individual participants in a cartel is usually regarded as a per se infringement of the competition law.

International Precedents

MICROSOFT ANTI -TRUST CASE

Consolidated civil enforcement action by USA, 19 states & Dist. of Columbia reg 4 alleged violations:

- ❑ Unlawful exclusive dealing arrangements
- ❑ Unlawful tying of Operating System (OS)
- ❑ Unlawful maintenance of monopoly in PC OS market
- ❑ Unlawful attempted monopolization of internet browser market



International Precedents

MICROSOFT ANTI-TRUST CASE



- Monopolization has 2 elements
 - Possession of monopoly power in relevant market
 - Willful acquisition or maintenance of monopoly power as distinguished from growth or development as consequence of superior product, business acumen or historic accident
- Liability for monopolization arises :
 - If anti-competitive methods or exclusionary measures used to achieve/maintain monopoly power
 - Monopolist's conduct has requisite anti-competitive effect
- If anti-competitive effect is established, monopolist may proffer pro-competitive justification
- Then for liability to fasten, the anti-competitive harm of the conduct must out-weigh the pro-competitive benefit

International Precedents

United States v. Visa U.S.A ;344 F.3d 229 (2d Cir. 2003)



Exclusionary Practice explained

- Visa and MasterCard together controlled 75% of the credit card market
- entered into an agreement not to compete with each other
- adopted exclusionary practices by prohibiting the member banks from doing business with American Express or Discover
- Justice Department sued Visa and Master for violation of Section 1 of Sherman Act -Contract in restraint of trade is anti-competitive.

Court Held: "**Exclusionary**" practices do not develop new choices for consumers and restricts their choice and is **anti-competitive**.

International Precedents

PepsiCo. Inc v. Coca-Cola Co., 315 F. 3d 101 (2nd Cir., 2002)



The case related to Fountain syrup distribution arrangements of Pepsi and Coke in US

- Pepsi distributed through bottlers
- Coke distributed through
 - Bottlers
 - IFDs (Independent Foodservice Distributors) who offered customers one- stop shopping for all restaurant supplies



Pepsi could not distribute through some IFDs since -

- IFDs had signed contracts with Coke containing loyalty provisions that prohibited carrying of Pepsi products

Pepsi sued on ground that loyalty provisions are an illegal monopolization in violation of Sherman Act



International Precedents

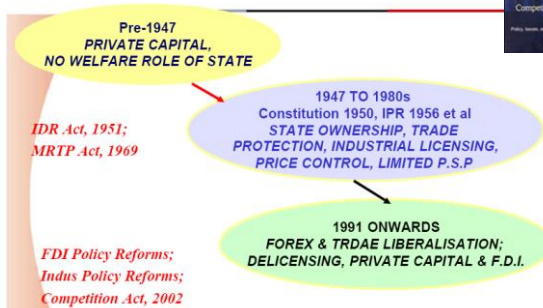
PepsiCo. Inc v. Coca-Cola Co., 315 F. 3d 101 (2nd Cir., 2002)

In the facts of the case, it was held that

- There was no evidence that distribution by IFDs is cheaper than bottlers
- Coke lacked enough market power in fountain syrup market to support a monopolization claim as
 - Only half of all fountain syrup is delivered by IFDs
 - Coke has only a share in the market
 - There was already intense competition in the market
- **Loyalty provisions ... not an illegal restraint of trade**



The Journey of Indian Laws



Evolution of Competition Law in India

1969: MRTP Act was enacted to provide for

- ❑ Prevention of concentration of economic power
- ❑ Control of monopolies
- ❑ Prohibition of MTP and RTP
- ❑ MRTP Act amendments
- ❑ 1984: UTP provisions added
- ❑ 1991: Chapter 3 governing concentration of economic power omitted ... thus dominance & market power not in issue

Competition Act

- ❑ May 2000: Raghavan Committee Report
- ❑ 2002: Competition Act enacted
- ❑ 31 March 2003 & 19 June 2003: Most provisions implemented
- ❑ 14 October 2003 : Competition Commission of India (CCI) established.

THE COMPETITION ACT, 2002

[13th January, 2003]

"An Act to provide, keeping in view of the economic development of the country, for the establishment of a Commission to prevent practices having adverse effect on competition, to promote and sustain competition in markets, to protect the interests of consumers and to ensure freedom of trade carried on by other participants in markets, in India, and for matters connected therewith or incidental thereto."

Raison d'être for Competition Act & Policy

Objectives of the Act: CCI to

- ❑ Prevent practices having adverse effect on competition
- ❑ Promote & sustain competition in markets
- ❑ Protect consumers interests
- ❑ Ensure freedom of trade in India

Competition Policy goals

- ❑ Preservation and promotion of the Competitive process
- ❑ Allocative efficiency reg. goods & services
- ❑ Innovation & adjustment to technological change
- ❑ Sustained economic growth

Competition Act 2002 (Amended 2007)

- ❑ Preliminary (Definitions)
- ❑ Prohibition of certain agreements, abuse of dominant position and regulation of combinations
 - Prohibition of agreements (Anti-competitive agreements)
 - Prohibition of abuse of dominant position
 - Regulation of combinations
- ❑ Establishment of Commission
- ❑ Duties, powers and functions of commission
- ❑ Duties of Director General
- ❑ Penalties
- ❑ Competition Advocacy
- ❑ Finance, Accounts and Audit
- ❑ Competition Appellate Tribunal
- ❑ Miscellaneous (Power to exempt)



Anti-competitive Agreements

3. (1) No enterprise or association of enterprises or person or association of persons shall enter into any agreement in respect of production, supply, distribution, storage, acquisition or control of goods or provision of services, which causes or is likely to cause an appreciable adverse effect on competition within India.
- (2) Any agreement entered into in contravention of the provisions contained in subsection (1) shall be void.

Anti-competitive Agreements

3. (3) Any agreement entered into between enterprises or associations of enterprises or persons or associations of persons or between any person and enterprise or practice carried on, or decision taken by, any association of enterprises or association of persons, including cartels, engaged in identical or similar trade of goods or provision of services, which -
- (a) directly or indirectly determines purchase or sale prices;
 - (b) limits or controls production, supply, markets, technical development, investment or provision of services;
 - (c) shares the market or source of production or provision of services by way of allocation of geographical area of market, or type of goods or services, or number of customers in the market or any other similar way;
 - (d) directly or indirectly results in bid rigging or collusive bidding,
- shall be presumed to have an appreciable adverse effect on competition.

Anti-competitive Agreements

- (4) Any agreement amongst enterprises or persons at different stages or levels of the production chain in different markets, in respect of production, supply, distribution, storage, sale or price of, or trade in goods or provision of services, including:
- (a) tie-in arrangement;
 - (b) exclusive supply agreement;
 - (c) exclusive distribution agreement;
 - (d) refusal to deal;
 - (e) resale price maintenance,
- shall be an agreement in contravention of sub-section (1) if such agreement causes or is likely to cause an appreciable adverse effect on competition in India.

Fast Track & Meru vs OLA

Informants: Fast Track and Meru; Opposite Party: OLA (ANI Technologies)
[CCI Case No. 06 of 2015 & 74 of 2017]

Informants alleged that Ola abused its dominant position in the relevant market by offering heavy discounts to the passengers and incentives to the cab drivers associated with them which amounts to predatory pricing.

CCI Order (January 2015):

- Aggregator platforms (Ola, Uber) are a substitute for radio taxi services (Meru, Fast Track)
- Identity of the supplier is inconsequential for the end consumer (The consumer perceives [Ola] as a service provider of radio taxi service whose service is substitutable with the services provided by other radio taxi service operators, irrespective of the business model followed by them)
- Dominant position depends on how long the market share was held, and Uber's entry helped Ola.
- Ola priced below cost, but not predatory.
- Too soon to tell. It's difficult to determine the long term impact of this pricing strategy since the market is yet to mature. CCI is hesitant to interfere in a market, which is yet to fully evolve. Any interference at this stage will not only disturb the market dynamics, but also pose a risk of prescribing sub-optimal solution to a nascent market situation.

Supreme Court backs CCI & NCLAT, says Ola & Uber drivers not in cahoots

THE ECONOMIST TIMES
December 16, 2020

FSS vs ACI

Informant: Financial Software and Systems; Opposite Party: ACI Worldwide
[CCI Case No. 52 of 2013]

FSS alleged that ACI abused its dominant position with respect to services in respect of customisation and modification of Electronic Fund Transfer (EFT) software in India (Base24 product).

CCI Order (Jan 2015):

- No contravention of ... The (Competition) Act is made out against ACI in the present matter.
- The evidence did not "sufficiently establish" that ACI operates independently of competitive forces in the relevant market. As the dominance of ACI has not been established, the issue of abuse of dominant position does not arise.
- With regard to anti-competitive agreements entered by ACI, since ACI Banks are the buyers/ consumers and are not part of the production chain, this agreement also does not fall within the purview of... The Act.

ACI Worldwide and FSS Announce Amicable Resolution Regarding Services on ACI's BASE24 Software

July 30, 2018

Federation of Hotels vs Makemytrip, Ibibo, OYO

Informant: Federation of Hotel & Restaurant Associations of India (FHRAI)
Opposite Parties: MakeMyTrip; Ibibo Group; Oravel Stays (OYO)
[CCI Case No. 14 of 2019 & CCI Case No. 01 of 2020]

FHRAI alleged that the companies had violated provisions of the Act, as they abused their dominant positions by charging excessive commissions from hotel partners and providing deep discounts, which led to destruction of competitive pricing in the market. MMT and Oyo had entered into confidential commercial agreements, leading to a denial of market access.

CCI Order (October 2019):

- There is a "prima facie case for investigation" against MakeMyTrip (Ibibo acquired by MMT) and Oyo for alleged violations of rules barring uncompetitive agreements between parties.
- The Act currently prohibited only unilateral abusive conduct by a dominant player and did not provide for the concept of collective dominance, so the companies could not be considered to be holding a dominant position collectively.

CCI tells MakeMyTrip to relist Oyo rivals Treebo, FabHotels

Gujarat HC sends Oyo, Treebo and FabHotels back to CCI

FHRAI urges SEBI to cancel OYO's IPO alleging irregularities and high losses

Anti-competitive conduct CCI slaps ₹400-crore penalty on MakeMyTrip-Goibibo, OYO

THE ECONOMIST TIMES
businessline.
The Indian EXPRESS

भारत का राजपत्र The Gazette of India

EXTRAORDINARY
PART II - Section 3
SUBSECTION (ii)
PUBLISHED BY AUTHORITY

NEW DELHI, TUESDAY, APRIL 11, 2023 (CHAITRA 21, 1945 (Vikram Samvat))

MINISTRY OF LAW AND JUSTICE
(Legislative Department)

New Delhi, the 11th April, 2023 (Chaitra 21, 1945 (Vikram Samvat))

The following Act of Parliament received the assent of the President on the 11th April, 2023 and is hereby published for general information—

THE COMPETITION (AMENDMENT) ACT, 2023
No. 9 of 2023 [11th April, 2023]

An Act further to amend the Competition Act, 2002.

Be it enacted by Parliament in the Seventy-fourth Year of the Republic of India as follows—

भारतीय प्रतिस्पर्धा आयोग Competition Commission of India

Amendments So Far...

2007: Competition Act
2009: Under Trade Practice & Merchandise Marks Act
2017: Competition Act

Competition (Amendment) Act, 2023 (The Amendment Act)

Timeline

- August 2022: The Competition Commission of India (CCI) issued a notice for public hearing on the proposed amendments.
- 29 March 2023: The Bill was passed by the Lok Sabha.
- 11 April 2023: The Bill received the Presidential assent.
- December 2022: The Parliament passed the Competition (Amendment) Bill, 2023.
- 03 April 2023: The Bill was passed by the Rajya Sabha.

- Broadening the scope of anti-competitive agreements
- Reduction in time-limit for review of M&As from 210 days to 150 days
- Introduction of Deal Value as another criterion for notifying M&As
- Limitation Period of 3 years for filing Information(s)
- Penalty indexed to Global Turnover
- Introduction of Settlement & Commitment framework for faster market correction
- Hub-and-Spoke type arrangements brought under the presumptive rule of Appreciable Adverse Effect on Competition (AAEC)
- Leniency Plus
- Framing of Regulations after public consultations
- Issuance of Guidelines
- Appointment of the Director General by the Commission, with prior approval of Central Government

